BERN INTERNATIONAL COMMERCIAL COURT

International Chamber of the Commercial Court of the Canton of Bern

Bern, 10 March 2026

Case No. HG ICC 26 7

STATEMENT OF CLAIM

submitted by:

Zytglogge Praezisionsinstrumente AG, Nydeggstalden 14, 3011 Bern, Switzerland (UID CHE-114.270.558 MWST), Claimant, represented by Dr. Lukas Herrmann, Attorney at Law, Moser Herrmann Attorneys at Law, Bundesgasse 10, 3011 Bern

against

Marchmont Dynamics Ltd, 22 Riverside Business Park, Nottingham NG2 1RT, United Kingdom (registered in England and Wales No. 08234719), Respondent, represented, upon information and belief, by Dr. Priska Wenger, Attorney at Law, Wenger Clerc Attorneys at Law, Loewenstrasse 29, 8001 Zuerich

concerning: restitution and damages arising from a Master Services Agreement for the implementation of an enterprise resource planning system

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Prayers for Relief

1. The Respondent be ordered to pay to the Claimant GBP 336,000.00, plus interest at 5% per annum from 12 January 2026.

2. The Respondent be ordered to pay to the Claimant GBP 158,500.00, plus interest at 5% per annum from the date of filing of this Statement of Claim.

3. It be declared that the Master Services Agreement dated 14 May 2024 between the Claimant and the Respondent was validly terminated by the Claimant with effect from 12 January 2026.

4. Costs and legal fees to be borne by the Respondent.

I. Formal Matters

Rz. 1 The Claimant, Zytglogge Praezisionsinstrumente AG, is a Swiss stock corporation with its registered office at Nydeggstalden 14, 3011 Bern, Switzerland, UID CHE-114.270.558 MWST, entered in the Commercial Register of the Canton of Bern. The Claimant manufactures precision measuring instruments for the watchmaking and medical-device industries and employs approximately 230 people in Bern.

Rz. 2 The Respondent, Marchmont Dynamics Ltd, is a private limited company incorporated in England and Wales under company number 08234719, with its registered office at 22 Riverside Business Park, Nottingham NG2 1RT, United Kingdom. The Respondent provides enterprise resource planning ('ERP') software implementation and integration services to clients across Europe, including Switzerland.

Rz. 3 This dispute concerns the implementation by the Respondent, under the internal project name 'Project Compass', of a new ERP system for the Claimant's manufacturing operations in Bern. The implementation failed at Go-Live in late November 2025, the Claimant terminated the Master Services Agreement between the parties for the Respondent's default, and the Claimant now seeks restitution of the milestone payments it made and damages for its resulting loss. The Respondent disputes that it was in default and, upon information and belief, intends to counterclaim for its own unpaid invoices.

Rz. 4 The Commercial Court of the Canton of Bern has jurisdiction over this dispute pursuant to Article 6 paragraph 4 letter c of the Swiss Civil Procedure Code ('ZPO'). This dispute concerns the commercial activity of both parties within the meaning of Article 6 paragraph 4 letter c number 1 ZPO; the value in dispute, set out at Rz. 6 below, far exceeds the threshold of CHF 100,000 fixed by Article 6 paragraph 4 letter c number 2 ZPO; the parties expressly consented to the jurisdiction of this Court in Clause 21.2 of the Master Services Agreement (Exhibit C-1), satisfying Article 6 paragraph 4 letter c number 3 ZPO; and, at the time that agreement was concluded, the Respondent had its seat outside Switzerland, satisfying Article 6 paragraph 4 letter c number 4 ZPO.

Rz. 5 Pursuant to Clause 21.3 of the Master Services Agreement (Exhibit C-1) and Article 129 paragraph 2 letter b ZPO, the parties agreed that these proceedings, being an international commercial dispute falling within Article 6 paragraph 4 letter c ZPO, be conducted in the English language. This Court has, since 1 January 2026, conducted proceedings in English on this basis in appropriate international commercial matters.

Rz. 6 The value in dispute is GBP 494,500.00, being the sum of the amounts claimed under Prayers for Relief 1 and 2, which corresponds to approximately CHF 568'675 at the indicative exchange rate of GBP 1 = CHF 1.15 prevailing on the date of filing. This value is stated for procedural purposes only and does not limit the relief sought.

Rz. 7 No prior conciliation proceedings have taken place. None are required: pursuant to Article 199 paragraph 3 ZPO, where a single cantonal instance has jurisdiction under Article 6 ZPO, as is the case here, the claiming party may file its action directly with the court.

II. Statement of Facts

Rz. 8 In 2023 the Claimant resolved to replace its legacy, locally-hosted ERP system, which no longer supported its manufacturing and reporting requirements. Following a competitive tender process, the Claimant selected the Respondent as the implementation partner for the new system.

Rz. 9 On 14 May 2024 the parties executed a Master Services Agreement together with an accompanying Statement of Work ('SOW') (Exhibit C-1). The Master Services Agreement is, by its Clause 21.1, governed by the substantive law of Switzerland, notwithstanding the Respondent's domicile in England.

Rz. 10 The total price for the services under the Master Services Agreement is GBP 420,000.00, exclusive of any value added or equivalent turnover tax, payable in five milestone instalments as set out in Schedule 2 to the Master Services Agreement: Milestone 1 (contract signature), 15%, GBP 63,000.00; Milestone 2 (design phase sign-off), 20%, GBP 84,000.00; Milestone 3 (build phase completion), 25%, GBP 105,000.00; Milestone 4 (user acceptance testing completion), 20%, GBP 84,000.00; and Milestone 5 (Go-Live and final acceptance), 20%, GBP 84,000.00 (Exhibit C-1).

Rz. 11 The implementation was planned in three phases: Phase 1 (Design), Phase 2 (Build), and Phase 3 (Testing and Cutover), with Go-Live targeted for late November 2025, as set out in the Project Plan annexed to the SOW (Exhibit C-1).

Rz. 12 Milestone 1 fell due upon signature. The Respondent issued invoice INV-2024-0071 on 21 May 2024, which the Claimant paid on 4 June 2024.

Rz. 13 The Design phase ran from June to October 2024. The Claimant approved the Functional Design Document on 24 October 2024, triggering Milestone 2. The Respondent issued invoice INV-2024-0128 on 28 October 2024, which the Claimant paid on 11 November 2024.

Rz. 14 During the Build phase the parties agreed two Change Requests under the change-control procedure of Clause 9 of the Master Services Agreement: CR-04, adding three management-reporting dashboards to the Finance module at no additional cost, approved on 9 January 2025; and CR-07, adding a one-way interface to the Claimant's existing warehouse management system, at an additional cost of GBP 5,700.00 for six consultant-days, approved on 24 March 2025.

Rz. 15 The Build phase was completed and signed off on 30 May 2025, triggering Milestone 3. The Respondent issued invoice INV-2025-0054 on 3 June 2025, which the Claimant paid on 17 June 2025.

Rz. 16 At its meeting of 29 August 2025, the parties' Steering Committee recorded the data-migration workstream as 'Amber', pending the Claimant's delivery of a validated extract of its legacy master data by the Data Freeze Date of 15 September 2025 fixed in the Project Plan (Exhibit C-4).

Rz. 17 The Claimant delivered the complete, validated legacy master data extract to the Respondent in accordance with the Data Freeze Date fixed in the Project Plan.

Rz. 18 User acceptance testing ran from October to November 2025. The Claimant accepted the user acceptance testing results in writing on 14 November 2025, triggering Milestone 4. The Respondent issued invoice INV-2025-0109 on 18 November 2025, which the Claimant paid on 26 November 2025 (Exhibit C-5); the payment is confirmed, together with the three preceding milestone payments, in the bank confirmation issued by the Claimant's bank, Aareland Bank AG (Exhibit C-6).

Rz. 19 At its meeting of 14 November 2025, the Steering Committee recorded Go-Live readiness as 'Amber', contingent upon the Respondent resolving two outstanding Severity-1 defects in the General Ledger module, logged as GL-14 and GL-22, before cutover (Exhibit C-4). Following discussion, the Steering Committee confirmed that Go-Live would proceed as planned on 28 November 2025, on the basis that the Respondent would close those two defects beforehand.

Rz. 20 Cutover to the live system began on Friday, 28 November 2025, as planned. The critical system failure that is the subject of this action - the System began posting duplicate entries to the General Ledger, corrupting the opening trial balance and forcing a halt to all customer invoicing and payroll processing - occurred on 30 November 2025 (Exhibit C-12).

Rz. 21 The Claimant's on-site system administrator, Mr. Broennimann, and other members of the Claimant's IT team spent the remainder of the Go-Live weekend attempting to contain the failure and to restore the General Ledger from the Respondent's own backup appliance, without success, as the backup itself proved to be corrupted (Exhibit C-12).

Rz. 22 On 3 December 2025, the Claimant's Head of Operations, Ms. Zbinden, gave the Respondent formal written notice of the critical defects and, invoking Clause 17 of the Master Services Agreement and Articles 366 and 107 of the Swiss Code of Obligations ('CO'), set the Respondent a period of ten working days, expiring 17 December 2025, within which to remedy the defects, failing which the Claimant reserved the right to withdraw from the Master Services Agreement (Exhibit C-7).

Rz. 23 The defects were not fully remedied within the period set, nor at any time before the Claimant's withdrawal described at Rz. 25 below. The General Ledger module remained unusable for closing purposes for the whole of this period.

Rz. 24 On 8 December 2025, the Claimant's project office issued an internal status report recording the General Ledger module as 'Red', with 47 open defects, 11 of them Severity-1, and noting that invoicing and payroll processing remained suspended (Exhibit C-8).

Rz. 25 On 20 December 2025, the Claimant's Chief Executive Officer, Dr. Fankhauser, and Ms. Zbinden exchanged an internal e-mail reviewing the options open to the Claimant, including termination of the Master Services Agreement (Exhibit C-10).

Rz. 26 By letter of its counsel dated 12 January 2026, the Claimant declared its withdrawal from the Master Services Agreement pursuant to Articles 366 and 107 paragraph 2 CO, demanded restitution of the milestone payments made within thirty days, and reserved the right to claim further damages (Exhibit C-9).

Rz. 27 Following termination, the Claimant engaged a replacement systems integrator to stabilise the Claimant's finance function and to complete the ERP implementation, incurring cost of approximately GBP 97,000.00, and incurred a further approximately GBP 61,500.00 in business-interruption losses, comprising temporary staff, overtime and lost efficiency, while its invoicing and payroll processes remained impaired.

Rz. 28 The Respondent has not repaid any part of the GBP 336,000.00 paid by the Claimant under Milestones 1 to 4, nor compensated the Claimant for its loss.

III. Legal Argument

Rz. 29 The Respondent was selected following a competitive tender conducted in 2023, in which the Claimant evaluated three candidate systems integrators against functional fit, cost and delivery track record; the Claimant selected the Respondent in April 2024 on the basis of its stated specialism in manufacturing-sector ERP implementations and its proposed delivery timeline of eighteen months to Go-Live.

Rz. 30 The implementation was staffed, on the Respondent's side, by a team of up to six consultants led throughout by Mr. Fox as lead consultant, and, on the Claimant's side, by Mr. Huegli as project manager reporting to Ms. Zbinden, with Mr. Broennimann providing infrastructure and system-administration support.

Rz. 31 During user acceptance testing between October and November 2025, 63 defects were logged, of which 58 were resolved before the Claimant accepted the test results on 14 November 2025; the remaining five, including GL-14 and GL-22, were carried forward on the basis of the Respondent's assurance, recorded in the Steering Committee minutes of 14 November 2025 (Exhibit C-4), that they would be closed before cutover.

Rz. 32 GL-14 concerned the incorrect rounding of postings denominated in a foreign currency; GL-22 concerned an intermittent failure of the month-end accrual routine. Neither defect, properly understood, was of the same character or severity as the duplicate-posting failure that in fact occurred at Go-Live, which arose from a different part of the System's batch-import logic, as confirmed by the Claimant's independent expert (Exhibit C-11).

Rz. 33 Throughout December 2025 and January 2026, the Claimant's finance team, supported by Mr. Broennimann, undertook interim manual closing and payroll procedures to keep the business operating while the General Ledger module remained unusable.

Rz. 34 The Respondent's project team changed twice during the Build phase: the original lead consultant left the Respondent's employment in January 2025 and was replaced, after a six-week handover, by Mr. Fox. The Claimant was not consulted on either change, although Clause 2.2 of the Master Services Agreement required the Services to be performed substantially in accordance with the agreed Project Plan.

Rz. 35 The cutover plan annexed to the Statement of Work provided for a rollback to the legacy system within four hours if cutover failed verification. No rollback was attempted or offered by the Respondent once the duplicate-posting defect appeared; instead, the Respondent chose to attempt a forward fix on the live System, a decision the Claimant was not asked to approve.

Rz. 36 The suspension of invoicing and payroll processing directly affected the Claimant's manufacturing operations: two supplier payment runs were delayed beyond their contractual due dates, and the December 2025 payroll run for the Claimant's approximately 230 employees had to be processed manually outside the System, at the cost particularised at Rz. 27 above.

Rz. 37 Characterisation of the Agreement. The Master Services Agreement is predominantly a contract for work within the meaning of Article 363 et seq. CO: the Respondent undertook to deliver a defined result - a functioning, tested ERP system accepted by the Claimant - and not merely to apply best efforts. The object of a contract for work may be immaterial, as the Federal Supreme Court has confirmed in respect of an intangible surveying result (BGE 109 II 34). To the extent particular work packages, such as the configuration work performed under the Change Requests, are instead characterised as a mandate within the meaning of Article 394 CO, the same remedies in substance apply by reason of the Respondent's default under Articles 97 et seq. CO.

Rz. 38 The Respondent's default. The Respondent failed to deliver a System free of critical, use-preventing defects by the agreed Go-Live date, and failed to cure the defects notified on 3 December 2025 within the ten-working-day period set by the Claimant's notice - a period that itself exceeded the minimum reasonable period required by Article 107 paragraph 1 CO. Withdrawal from a contract for work under Article 366 CO as a rule presupposes that the customer has granted the contractor a period to cure under Article 107 CO, as the Federal Supreme Court held in BGE 98 II 113; that requirement was satisfied here.

Rz. 39 Validity of the withdrawal. The Claimant was accordingly entitled to, and validly did, withdraw from the Master Services Agreement pursuant to Article 366 paragraph 1 and Article 107 paragraph 2 CO by the letter of 12 January 2026 (Exhibit C-9).

Rz. 40 Restitution. Under Article 109 paragraph 1 CO, a party that withdraws from a contract may refuse the promised consideration and reclaim what it has rendered. The Claimant is accordingly entitled to restitution of the GBP 336,000.00 paid under Milestones 1 to 4, as confirmed in Exhibit C-6.

Rz. 41 The Claimant anticipates that the Respondent may seek to invoke its own asserted delay in supplying the legacy master data extract as an excuse under Article 2 of the Swiss Civil Code. That defence cannot succeed: Clause 14.2 of the Master Services Agreement allocates the risk of data-related delay to the Respondent save to the extent it actually caused a resulting defect, and the critical failure here was a duplicate-posting error in the Respondent's own cutover script, unrelated to any data-quality issue, as confirmed by the Claimant's independent expert (Exhibit C-11).

Rz. 42 Damages. Under Article 109 paragraph 2 CO, the Claimant is further entitled to damages for the loss flowing from the collapse of the Master Services Agreement, the Respondent having failed to show that its default was free of any fault. Where, as here, the contractor fails to remedy a notified defect, the customer may forgo the remedy and claim the cost of having the defect cured by a third party, applying Article 107 paragraph 2 CO (BGE 136 III 273). That cost, together with the Claimant's business-interruption loss, is set out at Rz. 27 above and totals GBP 158,500.00.

Rz. 43 The Claimant's loss of GBP 158,500.00 comprises: (i) GBP 97,000.00 paid to its replacement systems integrator, itself comprising GBP 22,000.00 for emergency discovery and stabilisation of the General Ledger module and GBP 75,000.00 for completion of the outstanding elements of the Statement of Work; and (ii) GBP 61,500.00 in business-interruption loss, comprising GBP 28,000.00 for temporary finance staff, GBP 11,500.00 in overtime, and GBP 22,000.00 in lost efficiency during the period the General Ledger module remained unusable.

Rz. 44 Limitation of liability. Clause 20.1 of the Master Services Agreement, to the extent it purports to exclude the Respondent's liability for grossly negligent conduct - here, proceeding to Go-Live on a finance module with known, unresolved Severity-1 defects - is void under Article 100 paragraph 1 CO and does not limit the Claimant's damages claim.

Rz. 45 Article 377 CO does not assist the Respondent. Article 377 CO confirms the customer's unconditional right to terminate a contract for work for convenience before completion, against indemnification of the contractor (BGE 117 II 273); it has no application where, as here, the customer instead terminates for the contractor's default.

Rz. 46 Interest. The Claimant claims interest at 5% per annum, the statutory default rate under Article 104 paragraph 1 CO, on the restitution claim from 12 January 2026, the date of the declaration of withdrawal, and on the damages claim from the date of filing of this Statement of Claim.

Rz. 47 The Claimant bears, and discharges, the burden of proving the Respondent's default and the resulting loss under Article 8 of the Swiss Civil Code; the Respondent, conversely, bears the burden of proving any circumstance said to excuse that default, including the asserted contributory effect of the data-delivery timeline addressed at Rz. 41 above.

Rz. 48 To the extent the Respondent seeks to set off its own disputed invoice against the Claimant's restitution claim, no set-off is available under Article 120 of the Swiss Code of Obligations: the Respondent's claim for Milestone 5 and the CR-07 charge did not fall due before the Claimant's valid withdrawal extinguished the Respondent's right to further payment under the Master Services Agreement.

V. Costs and Procedural Requests

Rz. 49 Alternative legal characterisation. Should the Court conclude that particular elements of the Services, such as the work performed under CR-04 or CR-07, are better characterised as a mandate within the meaning of Article 394 CO rather than as part of the contract for work, the Claimant's termination remains effective and without liability to the Respondent: a customer terminating a mandate under Article 404 paragraph 1 CO owes compensation under Article 404 paragraph 2 CO only where termination occurs at an inopportune time, and termination following an uncured, use-preventing defect in the delivered System is not inopportune within the meaning of that provision.

Rz. 50 Currency. The sums claimed are expressed and should be awarded in pounds sterling, being the currency in which the Master Services Agreement fixed the price of the Services and in which all milestone invoices, including Exhibit C-5, were issued and paid.

Rz. 51 The Claimant requests that this matter be set down for a first case-management hearing at the Court's earliest convenience, given the ongoing accrual of interest and the Claimant's continuing reliance on manual workarounds for its invoicing and payroll functions pending final resolution of this dispute.

Rz. 52 The Claimant requests that costs, including the court fee and the Claimant's reasonably incurred legal fees, be awarded against the Respondent in full, there being no basis on the facts pleaded above for any apportionment of costs.

Rz. 53 Settlement discussions. Following the letter of 26 January 2026 (Exhibit R-7), the parties' counsel exchanged without-prejudice correspondence between February and April 2026 exploring a negotiated resolution, including a proposal by the Claimant to accept a reduced restitution sum in exchange for an accelerated payment timetable. No agreement was reached, and the Claimant does not rely on the content of those discussions in support of the relief sought in this Statement of Claim, which is advanced solely on the basis of the facts and legal arguments pleaded above.

Rz. 54 Reservation. The Claimant reserves the right to adduce further evidence, including supplementary expert evidence on quantum and on the technical cause of the incident, and to amend or supplement this Statement of Claim, in response to the Statement of Defence and Counterclaim and in the course of these proceedings.

IV. Evidence

Exhibit C-1 Master Services Agreement and Statement of Work dated 14 May 2024. Exhibit C-2 Marchmont Dynamics Ltd Standard Terms and Conditions (excerpt). Exhibit C-3 Order Confirmation dated 16 May 2024. Exhibit C-4 Steering Committee minutes of 29 August and 14 November 2025. Exhibit C-5 Invoice INV-2025-0109 (Milestone 4). Exhibit C-6 Payment confirmation, Aareland Bank AG. Exhibit C-7 E-mail correspondence of 3 December 2025 (notice to cure). Exhibit C-8 Project status report of 8

December 2025. Exhibit C-9 Notice of withdrawal dated 12 January 2026. Exhibit C-10 Internal e-mail of 20 December 2025 (German). Exhibit C-11 Independent technical report of Dr. Elena Marti, Bantiger IT Forensics AG. Exhibit C-12 Incident log of Mr. Broennimann (handwritten, 29-30 November 2025).

Bern, 10 March 2026

Dr. Lukas Herrmann

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